Issue was fully subscribed and the amounts due were received except Saritha to whom 1,000 shares were allotted who failed to pay the allotment money and first and final call money. Her shares were forfeited. All the forfeited shares were reissued to Parimala at ₹ 7 per share. Pass journal entries.

(Answer: Capital reserve account: ₹ 3,000)

Issue of shares for cash in lumpsum

19. Abdul Ltd. issues 50,000 equity shares of ₹ 10 each payable fully on application. Pass journal entries if shares are issued (i) at par (ii) at a premium of ₹ 3 per share.

Issue of shares for consideration other than cash

20. Paradise Ltd. purchased assets of ₹ 4,40,000 from Suguna Furniture Ltd. It issued equity shares of ₹ 10 each fully paid in satisfaction of their claim. What entries will be made if such issue is: (a) at par and (b) at premium of 10%.

(Answer: (a) Share capital account ₹ 4,40,000;
(b) Share capital account ₹ 4,00,000; Securities premium account ₹ 40,000)



Student activity 7.4

Complete the following journal entries by filling the missing information.

Date	Particulars	L.F.	Dr. ₹	Cr. ₹
1.	_____ Dr. To Share application A/c (Application money received @ 2 per share)		2,00,000	 _____
2.	Share application A/c Dr. To Share capital A/c (Share application money for _____ shares transferred to _____)		_____	 2,00,000

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